

Did John buy the stock? No. For several months, he watched its progress as it moved higher almost week after week. Disgusted, he quit following the stock.

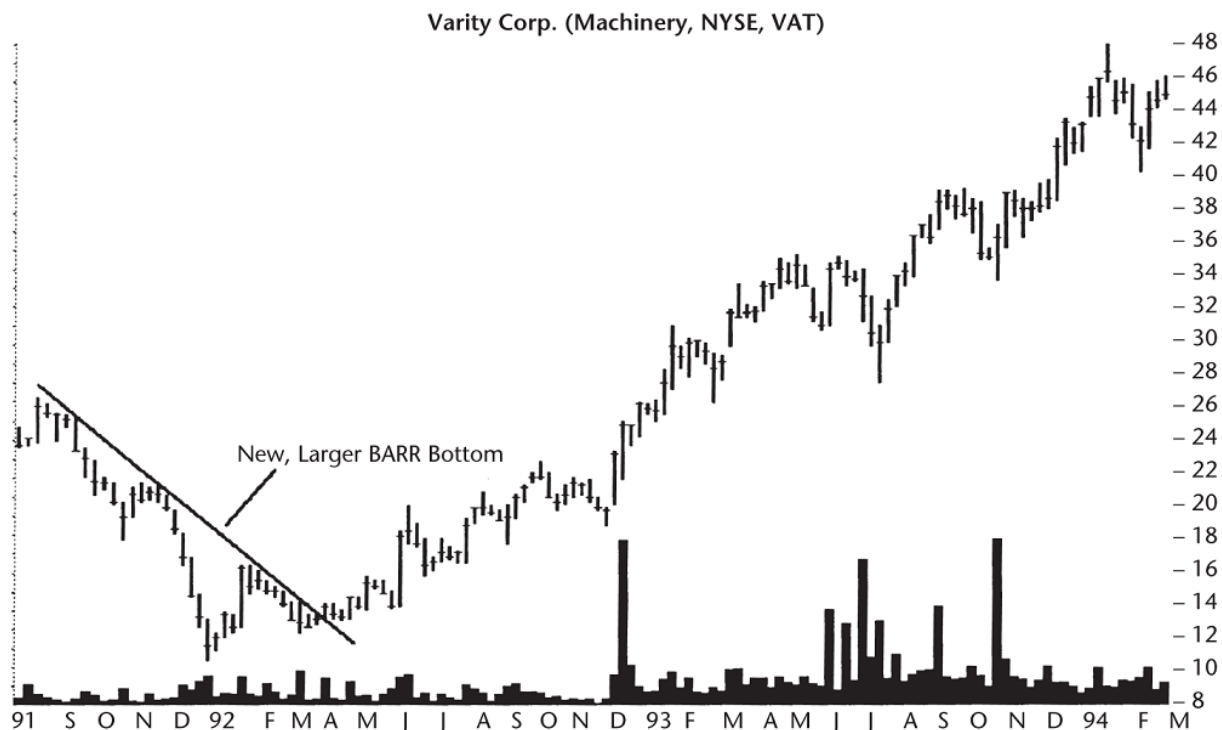


Figure 14.8 A bump-and-run reversal bottom on a weekly scale. After the breakout, the stock climbed over 350%.

In April 1994, John took another look at the stock and was surprised to see that it continued moving higher. It had just reached a high of 50.13, a climb of almost 370%. He grabbed his calculator and realized that his mistake cost him over \$3,000.

“What did you do wrong?” I asked him.

“Several things. I didn't wait for the BARR to pierce the top [lead-in] trendline and move higher. If I had, I would have bought closer to the low, saving lots of money.

“The big mistake was not cutting my losses short. After I bought, I should have determined my stop price. When price climbed above the middle trendline, below that support would have been a good place for a stop-loss order.” In this case, it would have taken him out of the stock at about 17.88, a small decline from the purchase price of 18.25. “Instead, I followed the